

**HOUSE SUBSTITUTE FOR
SENATE BILL NO. 95**

A bill to prohibit hospitals from attempting to collect debts incurred when not in compliance with price transparency laws; and to provide remedies.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "hospital price
2 transparency act".

3 Sec. 2. As used in this act:

4 (a) "Ancillary service" means an item or service a hospital
5 customarily provides as part of or in conjunction with a shoppable
6 primary service.

7 (b) "Centers for Medicare and Medicaid Services" means the
8 Centers for Medicare and Medicaid Services in the United States
9 Department of Health and Human Services.



(c) "Chargemaster" means the list of all individual items and services maintained by a hospital for which the hospital has established a charge.

(d) "Collection action" means any of the following actions taken with respect to a debt for items and services that were purchased from, or provided to a patient by, a hospital on a date during which the hospital was not in compliance with hospital price transparency laws:

(i) An attempt to collect a debt from a patient or patient guarantor by referring the debt, directly or indirectly, to a debt collector, a collection agency, or another third party retained by or on behalf of the hospital.

(ii) Suing the patient or patient guarantor or enforcing an arbitration or mediation clause in any hospital documents, including contracts, agreements, statements, or bills.

(iii) Directly or indirectly having a report made to a consumer reporting agency.

(e) "Collection agency" means, subject to subdivision (f), a person that does any of the following:

(i) Engages in a business, the principal purpose of which is the collection of debts.

(ii) Regularly collects or attempts to collect, directly or indirectly, debts owed or due or asserted to be owed or due to another.

(iii) Takes assignment of debts for collection purposes.

(iv) Directly or indirectly solicits for the collection of debts owed or due or asserted to be owed or due to another.

(f) Collection agency does not include any of the following, except as provided in subdivision (g):



1 (i) An officer or employee of a creditor while, in the name of
2 the creditor, the officer or employee is collecting debts for the
3 creditor.

4 (ii) A person while acting as a collection agency for another
5 person, both of whom are related by common ownership or affiliated
6 by corporate control, if the person acting as a collection agency
7 does so only for creditors to whom it is so related or affiliated
8 and if the principal business of the person is not the collection
9 of debts.

10 (iii) An officer or employee of the United States or any state
11 to the extent that collecting or attempting to collect a debt is in
12 the performance of the officer's or employee's official duties.

13 (iv) A person while serving or attempting to serve legal
14 process on another person in connection with the judicial
15 enforcement of a debt.

16 (v) A person licensed to provide debt management services
17 under the debt management act, 1975 PA 148, MCL 451.411 to 451.437.

18 (vi) A person that is collecting or attempting to collect a
19 debt owed or due or asserted to be owed or due to another person to
20 the extent that any of the following apply:

21 (A) The activity is incidental to a bona fide fiduciary
22 obligation or a bona fide escrow arrangement.

23 (B) The activity concerns a debt that was extended by the
24 person attempting to collect the debt.

25 (C) The activity concerns a debt that was not in default at
26 the time it was obtained by the person attempting to collect the
27 debt.

28 (D) The activity concerns a debt obtained by the person
29 attempting to collect the debt as a secured party in a commercial



1 credit transaction involving the creditor.

2 (vii) A person whose principal business is the making of loans
3 or the servicing of debt not in default and that acts as a loan
4 correspondent, seller and servicer for the owner, or holder of a
5 debt that is secured by a deed of trust on real property,
6 regardless of whether the debt is also secured by an interest in
7 personal property.

8 (viii) A licensee under any of the following acts:

9 (A) The horse racing law of 1995, 1995 PA 279, MCL 431.301 to
10 431.336.

11 (B) The McCauley-Traxler-Law-Bowman-McNeely lottery act, 1972
12 PA 239, MCL 432.1 to 432.47.

13 (C) The Traxler-McCauley-Law-Bowman bingo act, 1972 PA 382,
14 MCL 432.101 to 432.152.

15 (D) The Michigan Gaming Control and Revenue Act, 1996 IL 1,
16 MCL 432.201 to 432.226.

17 (E) The lawful sports betting act, 2019 PA 149, MCL 432.401 to
18 432.419.

19 (F) The fantasy contests consumer protection act, 2019 PA 157,
20 MCL 432.501 to 432.516.

21 (G) The lawful internet gaming act, 2019 PA 152, MCL 432.301
22 to 432.322.

23 (g) Collection agency includes a person that, in the process
24 of collecting the person's own debts, uses another name that would
25 indicate that a third person is collecting or attempting to collect
26 the debts.

27 (h) "Consumer reporting agency" means a person that, for
28 monetary fees or dues or on a cooperative nonprofit basis,
29 regularly engages, in whole or in part, in the practice of



1 assembling or evaluating consumer credit information or other
2 information on consumers for the purpose of furnishing consumer
3 reports to third parties. Consumer reporting agency includes a
4 person defined in 15 USC 1681a(f). Consumer reporting agency does
5 not include a person that provides check verification or check
6 guarantee services only.

7 (i) "Debt" means an obligation or alleged obligation of a
8 consumer to pay money owed to a hospital, or originally owed to a
9 hospital, regardless of whether the obligation has been reduced to
10 judgment. Debt does not include a debt for business, investment,
11 commercial, or agricultural purposes or a debt incurred by a person
12 engaged in business.

13 (j) "Debt collector" means any person employed or engaged by a
14 collection agency to perform the collection of debts owed or due or
15 asserted to be owed or due to another person.

16 (k) "De-identified maximum negotiated charge" means the
17 highest charge that a hospital has negotiated with all third-party
18 payers for an item or service.

19 (l) "De-identified minimum negotiated charge" means the lowest
20 charge that a hospital has negotiated with all third-party payers
21 for an item or service.

22 (m) "Discounted cash price" means the charge that applies to
23 an individual who pays cash, or cash equivalent, for a hospital
24 item or service.

25 (n) "Gross charge" means the charge for an individual item or
26 service that is reflected on a hospital's chargemaster, absent any
27 discounts.

28 (o) "Hospital" means, consistent with 45 CFR 180.20, a
29 hospital licensed under article 17 of the public health code, 1978



1 PA 368, MCL 333.20101 to 333.22260.

2 (p) "Hospital price transparency laws" means 42 USC 300gg-
3 18(e) and regulations adopted by the United States Department of
4 Health and Human Services implementing 42 USC 300gg-18(e), and any
5 similar applicable state statutes or rules.

6 (q) "Items and services" means all items and services,
7 including individual items and services and service packages, that
8 could be provided by a hospital to a patient in connection with an
9 inpatient admission or an outpatient department visit for which the
10 hospital has established a standard charge. Examples include, but
11 are not limited to, the following:

12 (i) Supplies and procedures.

13 (ii) Room and board.

14 (iii) Use of the facility and other items, generally described
15 as facility fees.

16 (iv) Services of employed physicians and nonphysician
17 practitioners, generally reflected as professional charges.

18 (v) Any other items or services for which a hospital has
19 established a standard charge.

20 (r) "Payer-specific negotiated charge" means the charge that a
21 hospital has negotiated with a third-party payer for an item or
22 service.

23 (s) "Person" means an individual or a partnership,
24 corporation, limited liability company, association, governmental
25 entity, or other legal entity.

26 (t) "Service package" means an aggregation of individual items
27 and services into a single service with a single charge.

28 (u) "Shoppable service" means a service that can be scheduled
29 by a health care consumer in advance.



(v) "Standard charge" means the regular rate established by the hospital for an item or service provided to a specific group of paying patients. This includes all of the following:

(i) A gross charge.

(ii) A payer-specific negotiated charge.

(iii) A de-identified minimum negotiated charge.

(iv) A de-identified maximum negotiated charge.

(v) A discounted cash price.

(w) "Third-party payer" means a person, other than an individual, that is, by statute, contract, or agreement, legally responsible for payment of a claim for a health care item or service.

Sec. 3. (1) Subject to subsection (2), after the effective date of this act, a hospital that is not in material compliance with hospital price transparency laws or that does not maintain and make publicly available a list as required under this subsection on the date that items and services are purchased from, or provided to a patient by, the hospital shall not initiate or pursue a collection action against the patient or patient guarantor for a debt owed for the items and services. All of the following apply for a list required under this subsection:

(a) The list must have the standard charges for each of at least 300 shoppable services provided by the hospital. The hospital may select the shoppable services to be included in the list, except that the list must include either of the following:

(i) The 70 services specified as shoppable services by the Centers for Medicare and Medicaid Services, if available.

(ii) If the hospital does not provide all of the shoppable services described in subparagraph (i), as many of those shoppable



1 services as the hospital does provide.

2 (b) In selecting a shoppable service for purposes of inclusion
3 in the list, the hospital must do both of the following:

4 (i) Consider how frequently the hospital provides the service
5 and the hospital's billing rate for the service.

6 (ii) Prioritize the selection of services that are among the
7 services most frequently provided by the hospital.

8 (c) If the hospital does not provide 300 shoppable services,
9 the list must have the total number of shoppable services that the
10 hospital provides in a manner that otherwise complies with the
11 requirements of subdivision (a).

12 (d) The list must do all of the following:

13 (i) Include all of the following:

14 (A) A plain-language description of each shoppable service
15 included on the list.

16 (B) The payer-specific negotiated charge that applies to each
17 shoppable service included on the list and any ancillary service,
18 listed by the name of the third-party payer and plan associated
19 with the charge and displayed in a manner that clearly associates
20 the charge with the third-party payer and plan.

21 (C) The discounted cash price that applies to each shoppable
22 service included on the list and any ancillary service or, if the
23 hospital does not offer a discounted cash price for 1 or more of
24 the shoppable or ancillary services on the list, the gross charge
25 for the shoppable service or ancillary service, as applicable.

26 (D) The de-identified minimum negotiated charge that applies
27 to each shoppable service included on the list and any ancillary
28 service.

29 (E) The de-identified maximum negotiated charge that applies



1 to each shoppable service included on the list and any ancillary
2 service.

3 (F) Any code used by the hospital for purposes of accounting
4 or billing for each shoppable service included on the list and any
5 ancillary service, including the Current Procedural Terminology, or
6 CPT, code, the Healthcare Common Procedure Coding System, or HCPCS,
7 code, the Diagnosis Related Group, or DRG, code, the National Drug
8 Code, or NDC, or any other common identifier.

9 (ii) If applicable, do both of the following:

10 (A) State each location at which the hospital provides the
11 shoppable service and whether the standard charges included in the
12 list apply at that location to the provision of that shoppable
13 service in an inpatient setting, in an outpatient department
14 setting, or in both of those settings, as applicable.

15 (B) Indicate if 1 or more of the shoppable services specified
16 by the Centers for Medicare and Medicaid Services is not provided
17 by the hospital.

18 (e) The list must be all of the following:

19 (i) Displayed in a prominent location on the homepage of the
20 facility's publicly accessible internet website or accessible by
21 selecting a dedicated link that is prominently displayed on the
22 homepage of the facility's publicly accessible internet website. If
23 the facility operates multiple locations and maintains a single
24 internet website, the list must be posted for each location the
25 facility operates in a manner that clearly associates the list with
26 the applicable location of the facility.

27 (ii) Available as follows:

28 (A) Free of charge.

29 (B) Without having to register or establish a user account or



1 password.

2 (C) Without having to submit personal identifying information.

3 (D) Without having to overcome any other impediment, including
4 entering a code to access the list.

5 (iii) Searchable by service description, billing code, and
6 payer.

7 (2) After 6 months after the effective date of this act, this
8 act applies to critical access hospitals licensed and certified by
9 the department of health and human services under 42 CFR 485
10 subpart F.

11 (3) If a patient has evidence that a hospital was not in
12 compliance with hospital price transparency laws or did not
13 maintain and make publicly available a list as required under
14 subsection (1) on a date after the effective date of this act and
15 that items and services were purchased by or provided to the
16 patient on that date, and if the hospital takes a collection action
17 against the patient or patient guarantor regarding the items and
18 services, the patient or patient guarantor may file a civil action
19 to determine if the hospital was materially out of compliance with
20 the hospital price transparency laws or failed to maintain and make
21 publicly available the list on the date of service and if the
22 noncompliance is related to the items and services. The hospital
23 shall not take a collection action against the patient or patient
24 guarantor while the civil action is pending.

25 (4) If the judge or a jury in a civil action under this act,
26 considering compliance standards issued by the Centers for Medicare
27 and Medicaid Services, determines that a hospital was out of
28 material compliance with hospital price transparency laws regarding
29 the items and services that were purchased from or provided to the



1 patient by the hospital on the date that the items and services
2 were purchased or provided or failed to maintain and make publicly
3 available a list as required under subsection (1), the hospital
4 shall do all of the following:

5 (a) Refund the payer any amount of the debt the payer has paid
6 and pay a penalty to the patient or patient guarantor an amount
7 equal to the total amount of the debt.

8 (b) Dismiss or move to dismiss with prejudice any court action
9 based on the debt and pay any attorney fees and costs incurred by
10 the patient or patient guarantor relating to the action.

11 (c) Remove or have removed from the patient's or patient
12 guarantor's credit record any report made to a consumer reporting
13 agency relating to the debt.

14 (5) The remedy provided in this act is the exclusive remedy
15 for any civil action filed under this act.

16 (6) This act does not do any of the following:

17 (a) Prohibit a hospital from billing a patient, patient
18 guarantor, or third-party payer, including a health insurer, for
19 items and services provided to the patient.

20 (b) Require a hospital to refund any payment made to the
21 hospital for items and services provided to the patient, if no
22 collection action is taken in violation of this act.